

Global Strategy

A reluctant Fed comes at a crucial juncture for EM FX

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Emerging Markets

A crowded consensus in EM carry...

EM currency returns have been a mixed bag: of the 18 most liquid currencies, 6 have generated positive total returns against the USD over the past 6m. 'Carry' has dominated - COP, BRL, TRY, HUF and MXN have led 6m returns - and remains the most popular strategy in [our client discussions](#). This enthusiasm is premised on expectations of 1) resilient and broadening global growth keeping global volatility anchored; 2) limited broad \$ strength even if the Fed tightens; and 3) peak oil uncertainty having passed, keeping EM external deficits contained. We [retain](#) a selective stance - we think the micro underpinnings of EM carry are deteriorating and see fundamental FX challenges that are under-discussed. We prefer COP over CLP, HUF over PLN, and, tactically, BRL over MXN and long TRY optionality. In most of these trades, though, we are expecting gains to slow without Fed help. We are also outright short IDR. See [page 3](#) for 12 cross asset charts.

...faces three fundamental challenges

We see three fundamental challenges confronting EM FX:

1. Shifting reaction functions at several EM CBs signal a higher bar for carry, even if the external environment remains benign. Several parts of EM have seen dovish monetary policy outcomes in recent weeks vs. market expectations e.g. [Hungary](#), Poland, [S. Africa](#), Israel, India & [Colombia](#); including new FX intervention programmes in Colombia and Israel. Much of EM is thus showing a revealed preference to now contain FX appreciation. Note that this comes in the context of net lower [inflation surprises](#) across EM - for instance, 100% of Hungarian, 83% of Mexican and Thai, and $\frac{2}{3}$ of Chinese and Israeli CPI data has surprised to the downside YTD. Core goods - a CPI component particularly sensitive to FX - has remained anchored across large parts of EM thus far despite spillover risk from higher oil. EM central bank reaction functions could yet change if global oil or food prices rise sharply - but for now their more dovish posturing comes just as US 10y real yields are near cycle highs - pointing to a higher bar for EM capital flows and FX. [Brazil's](#) key election is also just 2m away - we've been bullish BRL over the last 12m but see more symmetric risk/reward pending greater visibility on the next administration's reform agenda.

2. EM growth differentials under growing pressure. While EM growth has held up through the energy shock thus far, growth differentials are being challenged by a resilient US; EM outperformance looks narrowly based in the tech hubs of Korea & Taiwan. We observe greater evidence of growth and earnings breadth improvement in the US than EM. For instance, US ex Tech+ EPS growth is expected at 15% y/y in Q2 and EPS revisions remain positive, helping [equal-weighted US equity indices](#) hit new highs last week. For EM the story has been different - even as Korea and Taiwan equity strength has moderated, the rest of the index has moved sideways and EPS revisions are flat outside Tech+. Growth momentum in large parts of EM e.g. China, India, Indonesia, Mexico, Chile, and South Africa screen as mediocre in our [global heatmap](#) indicators, trailing that of the US. [Yesterday's PMI data](#) shows US manufacturing growth eclipsing EM to the largest extent since Sept-22. With AI challenging job creation in services while a hypercompetitive China challenges manufacturing, we believe unchanged Fed rates into year end are necessary for EM FX performance to broaden in the coming 1-3m.

3. A potential increase in EU-China trade barriers later this year could deepen Chinese export penetration into the rest of EM, challenging FX. Despite sequential recovery in

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China's export prices this year, gains appear to be almost entirely concentrated in tech products, mineral products and fertilisers - which arguably don't tell us a great deal about domestic deflation and a let-up in China's rising export competitiveness. This helps explain why a) the real RMB remains weak, near 2008 levels on our preferred measures (China's [export price](#) recovery has been milder than the rest of the world) and b) why China's manufactured trade balance is showing signs of acceleration from already strong levels ex gold and tech, where imports have stepped up. The fact that [China's surging trade surplus](#) against the rest of EM since 2022 is being seen alongside lower (on aggregate) EM ex China investment and [manufacturing](#) shares of GDP tells us that it's consequences aren't a clear net positive for the rest of EM FX, despite the lower inflation they bring.

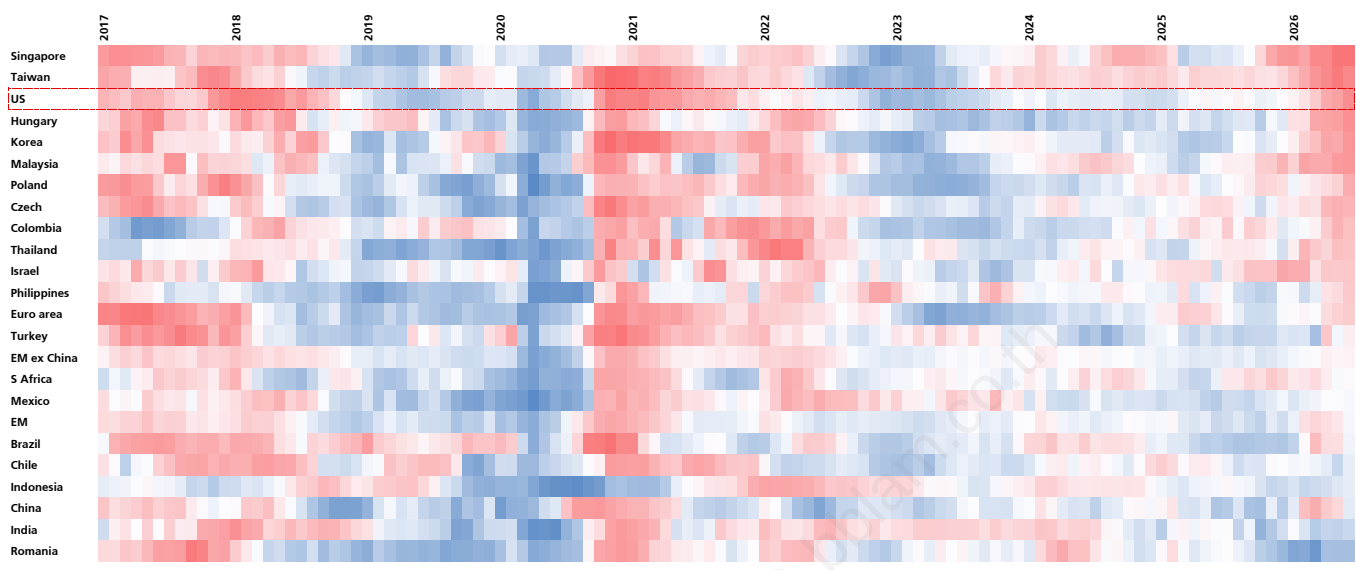
A dovish Fed could help to kick these cans down the road

Faced with these fundamental challenges, we think EM currencies need new positive impulses. An unchanged Fed into YE (UBS' baseline view vs. 2 hikes priced by March) could be one such catalyst, by reducing right-tail risks for the USD and boosting the case for diversification into EM. Beyond carry, (undervalued) [North Asia currencies](#) could also deliver respectable returns, particularly if the US slows more rapidly than expected. Other signposts we are focussed on are a) Brazil (presidential) and South Africa (municipal) elections in Oct and Nov respectively (b) clearer evidence of EM FDI and investment activity broadening on cheaper Chinese inputs.

Rates carry more compelling than FX carry in parts of EM

While the risk/reward in EM carry currencies is becoming more balanced, we believe they remain compelling in parts of EM rates after the selloff earlier this year - e.g. Mexico, India and South Africa. We believe Mexico - pricing 6 hikes over 2y despite a negative output gap and inflation already back in Banxico's target band - has a high bar to tighten irrespective of what the Fed does. We see the RBI in no rush to validate the 3-4 hikes priced over the next 1y amid contained core inflation, weakening manufacturing sentiment and slowing domestic equity flows. Terminal rate pricing in South Africa implies real rates near the 2022 policy rate peak - fiscal and inflation-targeting reforms since then appear underpriced. In all three, 'rates carry' likely offers superior risk/reward to 'FX carry' over the coming months.

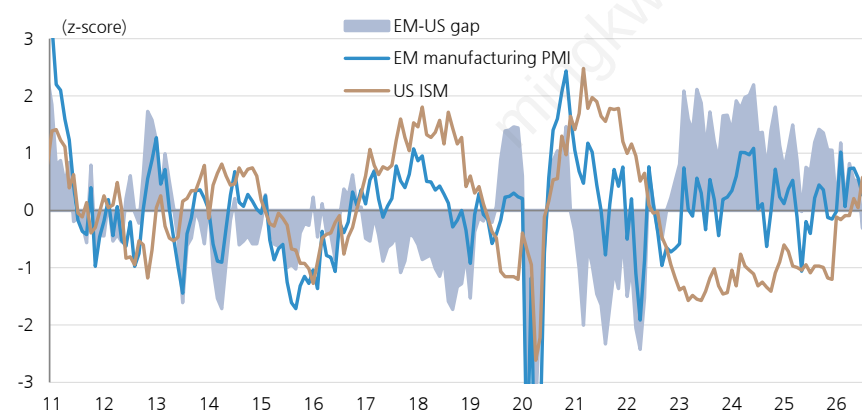
Figure 1: UBS Macro Income Statement Scorecard (Red denotes accelerating growth momentum)
US growth momentum appears to surpassing large parts of EM



Source: Haver, Macrobond, UBS. Based on weighted average of credit growth (15%), manufacturing IP (25%), export growth (25%), PMI (25%) and retail sales (10%).

Figure 2: Manufacturing PMIs: EM vs US (ISM)

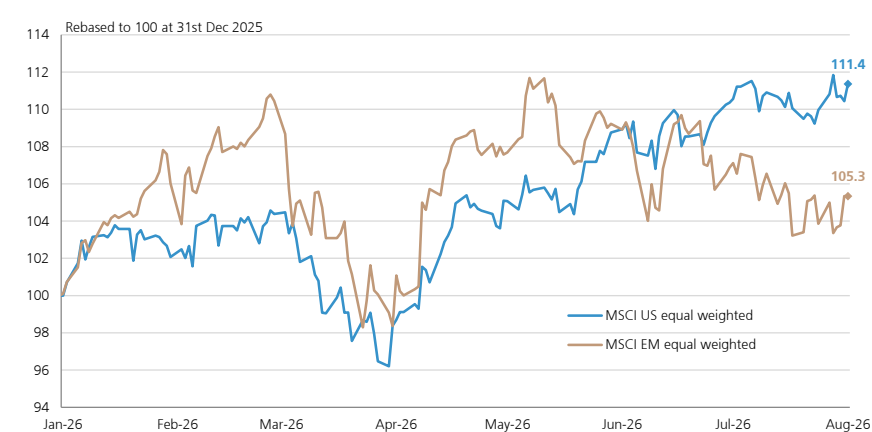
On a z-score basis, EM manufacturing PMIs in July weakened below that of the US; the differential is its weakest point since Sept 2022.



Source: Haver, UBS. z-scores are calculated since Jan-2011.

Figure 3: MSCI US and EM equal weighted YTD performance

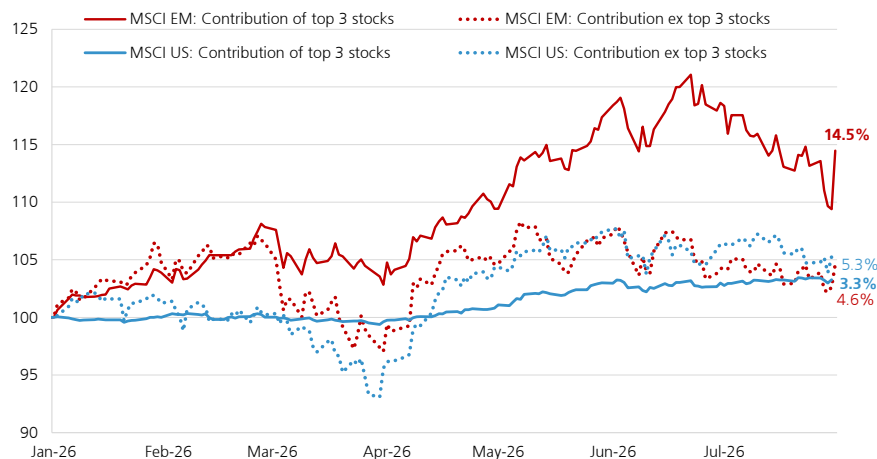
While EM equities have outperformed YTD, markets see improving breadth in the US vs. EM



Source: MSCI, Datstream, UBS.

Figure 4: MSCI EM and US top 3 contributors

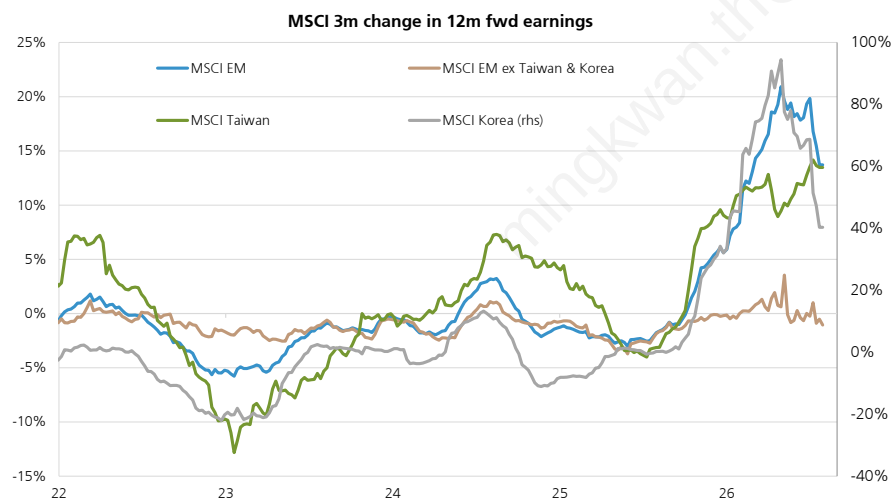
As top 3 stock performance faltered in EM, the rest of the index has done very little



Source: MSCI, Datastream, UBS. Note: Top 3 contributors in US are Apple, Micron & AMD and in EM are TSMC, Samsung & SK Hynix

Figure 5: MSCI 3m change in 12m fwd earnings

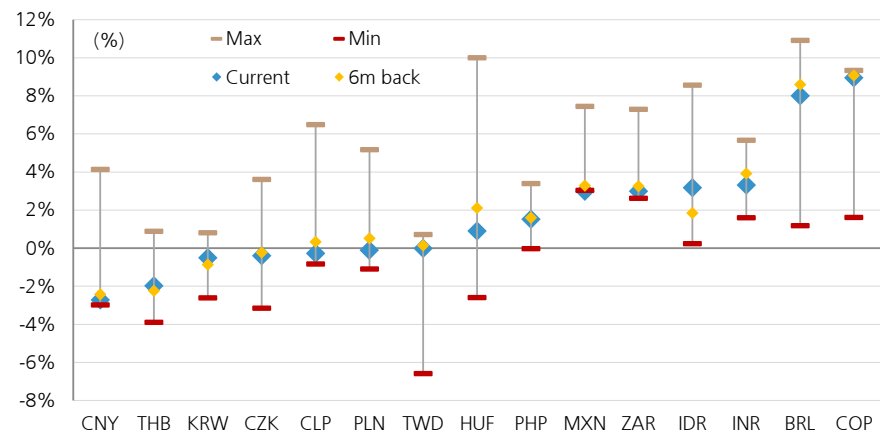
EPS revision momentum is flat outside Korea and Taiwan



Source: MSCI, IBES, Datastream, UBS.

Figure 6: 12m FX carry vs. USD

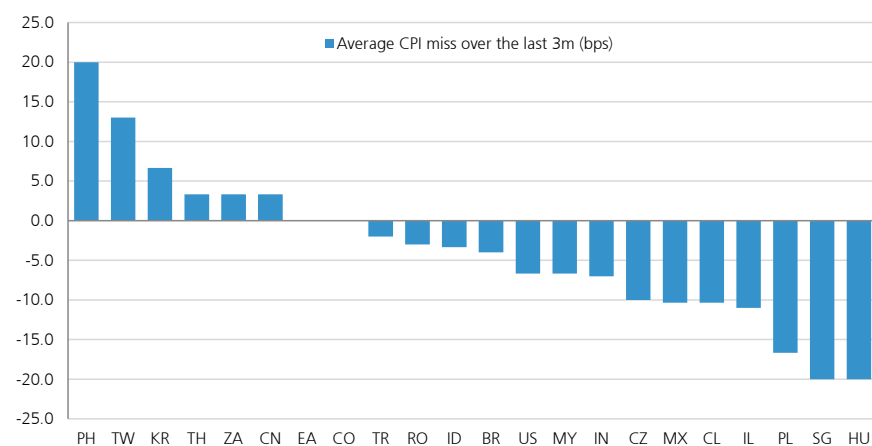
Among the major ccys, only BRL and COP offer historically elevated carry - but Brazil elections (2m away) and Colombia's more dovish posturing suggest slowing gains



Source: Bloomberg, UBS

Figure 7: EM inflation surprises over the last 3m

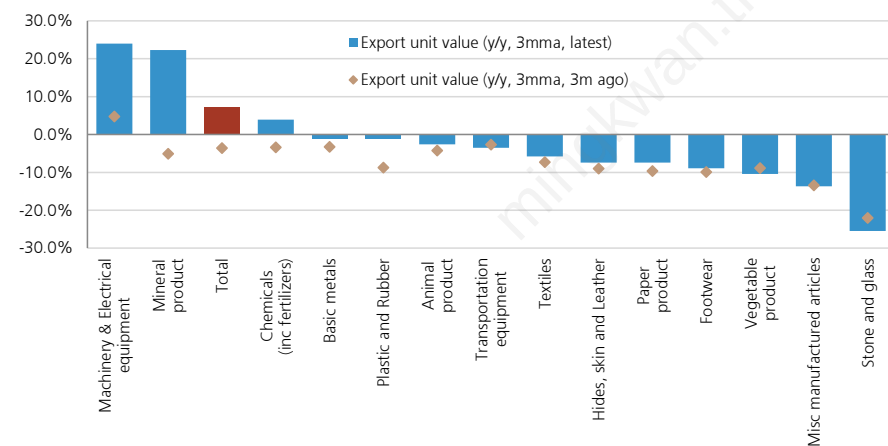
On balance, EM has seen net lower inflation surprises in recent months, particularly ex Asia



Source: Haver, Macrobond, UBS

Figure 8: China export prices: product breakdown

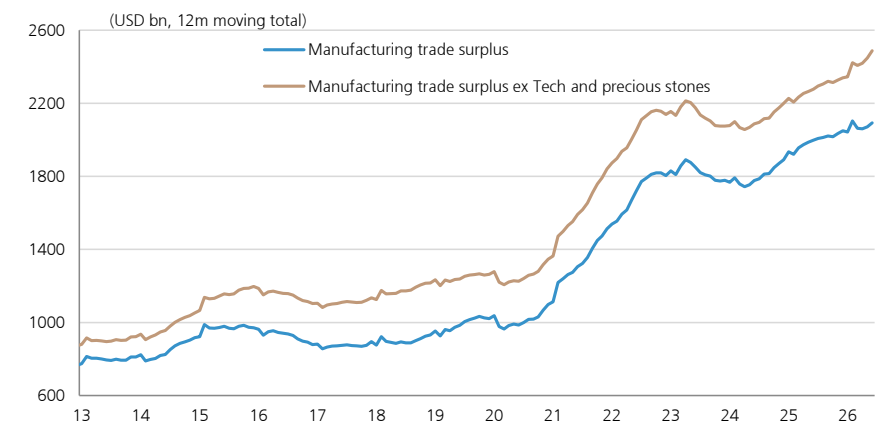
A return to 'reflation' in China's export pricing - but this seems narrowly concentrated



Source: Haver, UBS

Figure 9: China's manufacturing trade balance

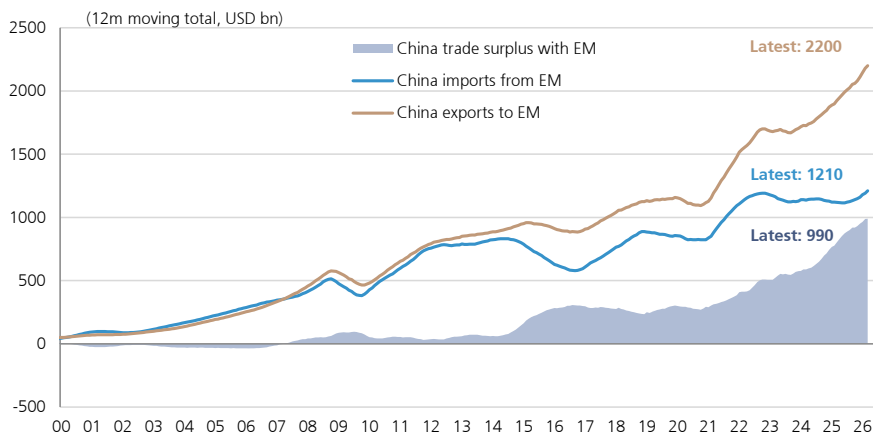
If one excludes gold and tech imports, the trade surplus is showing signs of re-acceleration. We continue to see the RMB as undervalued, and China restraining FX upside in the rest of EM



Source: Haver, UBS. Latest data as of Jun-2026.

Figure 10: China trade balance with the rest of EM

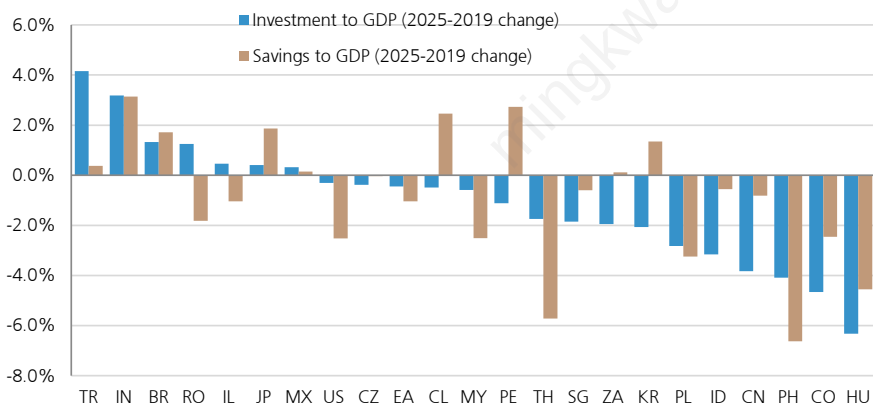
We estimate that China's trade surplus with the rest of EM has risen from \$350bn in 2021 to ~1trn today. If EU-China trade tension increases, EM may become even more important for Chinese exporters.



Source: Haver, IMF, UBS. Latest data as of Mar-26.

Figure 11: Savings and investment rates across EM

While China isn't the only driver, this has been a period of broadly declining investment/GDP and manufacturing/GDP in the rest of EM.



Source: Haver, IMF, UBS

Figure 12: Manufacturing to GDP

A step-shift lower in EM ex China manufacturing in recent years



Source: Haver, UBS

We would like to thank **Daksh Gupta**, our research support service professional, for his assistance in preparing this research report.

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